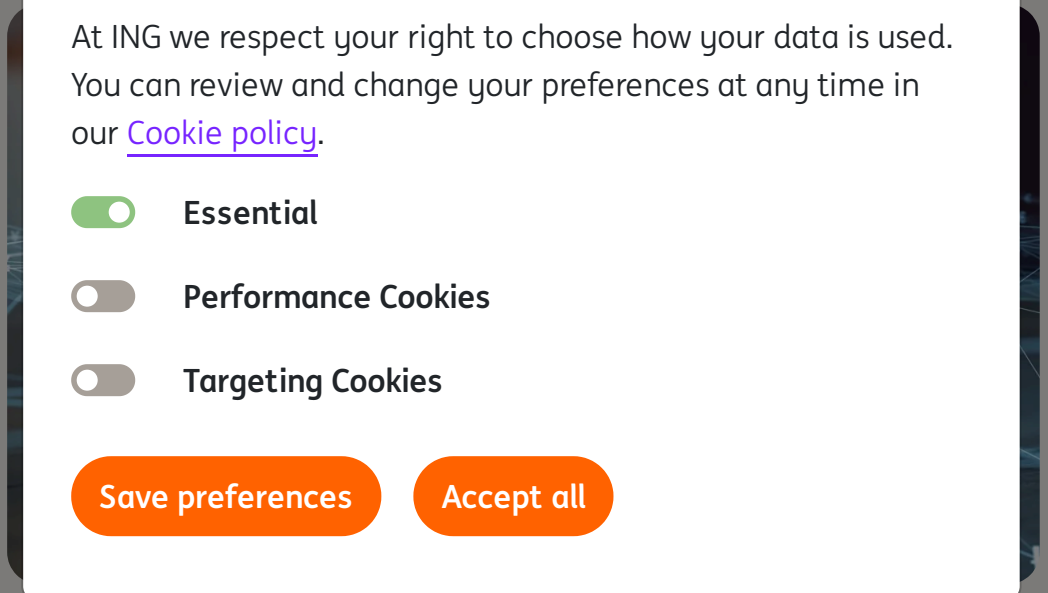
We expect 2027 to be a low-volatility year in FX, with central banks and rate differentials firmly in the driving seat. We see a dollar decline resuming from 2Q27, while diverging monetary, growth and external dynamics create opportunities across regions



Chris Turner, Francesco Pesole, Frantisek Taborsky and Deepali B



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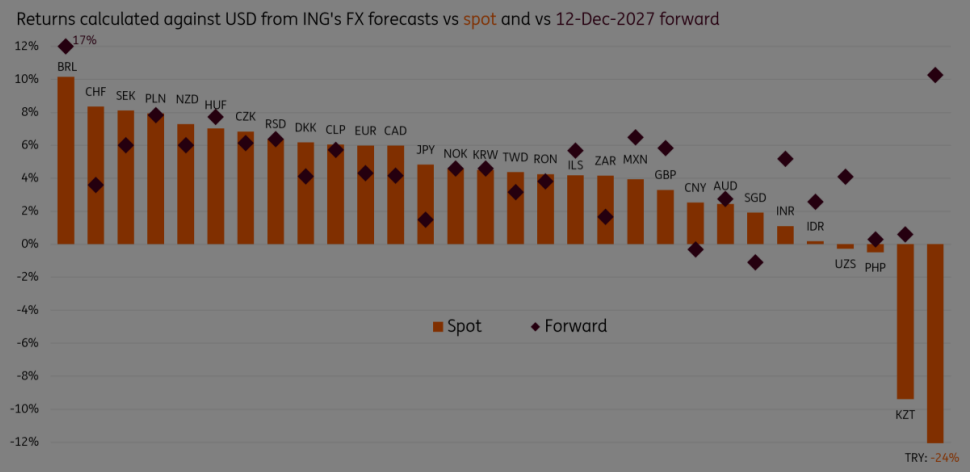
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Winners and losers in FX next year



Source: ING, Refinitiv

1 Not a breakout year for volatility

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liquidity to the FX market and the greater use of FX pricing algos on the buy-side, limiting the market fallout when trading conditions thin.

Yet market volatility has not vanished. There are plenty of risks out there, which we highlight in a dedicated section below. The same applies for market liquidity. If the shock is big enough – such as Liberation Day tariffs in 2025 or the start of the Iran war this year – market depth can fall away quickly. The prospect of fat tails, low-probability, high-impact event risks, is certainly a threat to global FX markets. But the bar for these risks to raise volatility is a high one.

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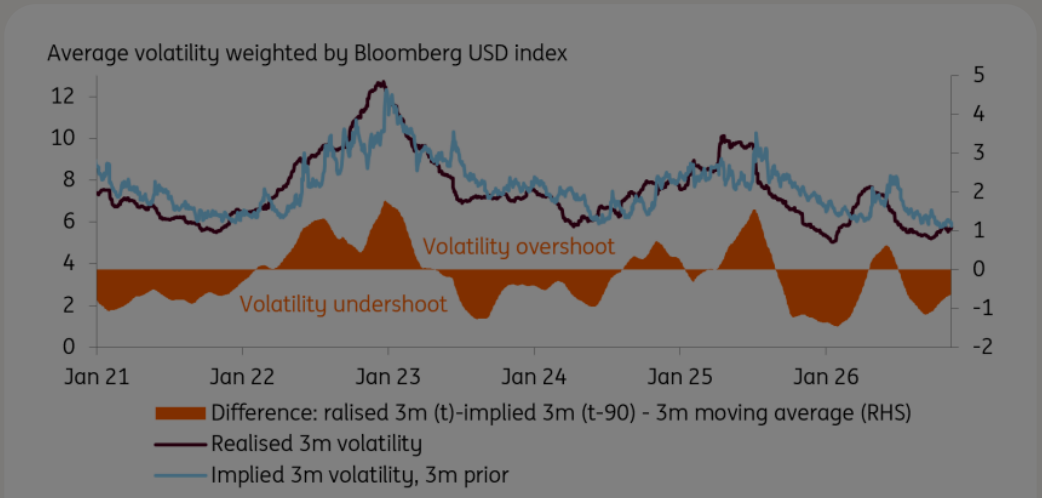
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Volatility has mostly undershot expectations in 2026



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more important distinction is between economies where the shock can generate more lasting inflation and those where it cannot. On top of that, the central banks' FX-specific approach will be key. Remember how, in 2022-2024, the fear of amplified inflation effects from a weak currency prompted tighter fiscal policies among some often dovish-leaning central banks.

Here are our top picks among G10 currencies for next year:

1. **JPY – the best risk/reward.** We don't have a huge outperformance of the yen in our forecasts, especially relative to the euro. But that's primarily due to our assumption that the euro will drop its French-related risk premium by end-2028, and

a carry-favourable environment can somewhat contain yen gains. However, we think the yen offers the best risk-reward profile in G10. Alongside being sharply undervalued based on long-term fundamentals, it faces limited risks of dovish repricing as the Bank of Japan's tightening cycle predated the Iran war. It incidentally has strong safe-haven value against some fat-tail risks (AI bust, fiscal dominance, dollar debasement, some geopolitical events) and stands to be a beneficiary of an ultimate capitulation in USD rates. Downside risks are, crucially, limited by a coordinated Tokyo-Washington effort to prevent sharp USD/JPY rallies.

2. **CHF – SNB turning pro-franc**. If 2027 is the year when global interest rates peak and then reverse, the opportunity cost of

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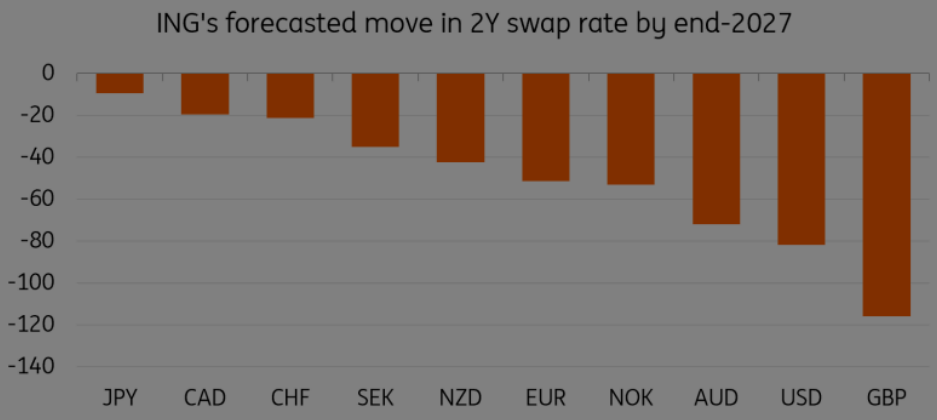
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Australian dollar to play a decline in global rates, as the Reserve Bank of Australia may already shift to cuts in the third quarter of 2027.

Sterling, dollar and AUD face largest dovish repricing risk



Source: ING, Refinitiv

3 Dollar decline is delayed, not cancelled

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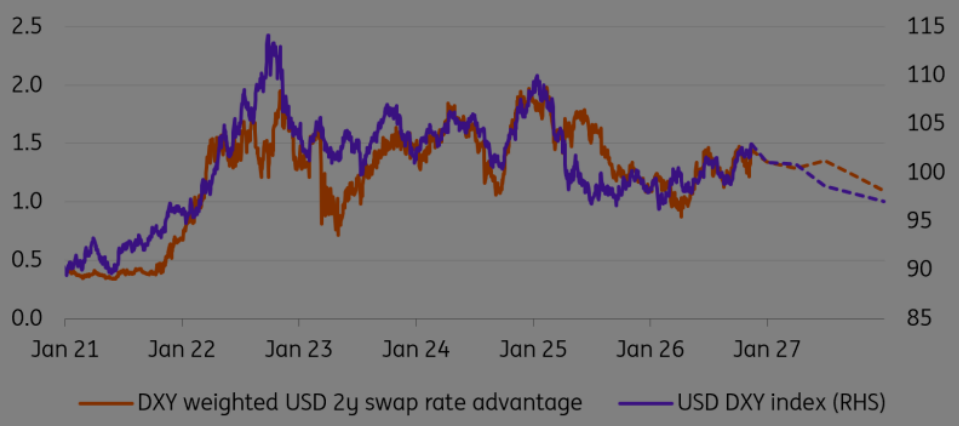
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year's second half.

We expect the dollar to weaken alongside that repricing, with greater conviction in the downside story later in the year. The Fed should remain cautious about turning dovish before clearer evidence of disinflation emerges, while elevated funding rates will continue to make it expensive to sell or hedge dollars until some easing is priced in. And because we also hold dovish views on other central banks, we don't expect narrower USD short-term rate differentials to trigger a particularly large dollar downturn. We target a roughly 5% decline in DXY to 97 by end-2027.

Front-end rates to drive DXY lower



Source: ING, Refinitiv

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We think markets will be wary of jumping into a meaningful OAT relief rally before the presidential election (18 April-2 May) and likely parliamentary elections in the summer are out of the way. We are not forecasting another big selloff in French bonds but think 125-150bp will be the norm for the OAT-Bund 10yr spread into 2Q27, before some tightening towards 100bp in 2H27.

The euro has been embedding a French risk premium since early October, meaning a further material deterioration in sentiment would probably be needed to generate additional idiosyncratic pressure. Historically, the link between euro-area sovereign spreads

and FX has been patchy, with stress episodes often requiring a steady flow of negative news to sustain the correlation.

We therefore expect French political risk to keep euro sentiment somewhat subdued into the elections and a subsequent bond-market relief rally to offer some support, but not to displace central bank expectations as the main driver of EUR crosses next year. In other words, we really need to see a significant deterioration in the French situation, prompting ECB bond market intervention, for EUR/USD to sustain a move below 1.10 through 2027.

EUR already embeds French risk premium

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paths for local FX

The Central Europe region is entering a year of divergence. The Czech Republic, Poland and Hungary face similar risks from energy prices, geopolitics and volatile global markets, but increasingly different monetary, fiscal and growth dynamics mean CEE3 is becoming less of a single FX trade.

In the Czech Republic, the Czech National Bank has already delivered two hikes, taking rates to 4%, and remains the most hawkish central bank in the region. If inflation proves more persistent, further tightening remains possible. Positive nominal and real rate differentials and high credibility should therefore keep the koruna relatively defensive during periods of global uncertainty,

while any easing of external risks could put it back on an appreciation path.

Poland is moving differently. The National Bank of Poland is still waiting to deliver its first hike, leaving the zloty with less monetary support for now. Strong growth and sizeable EU inflows remain important anchors, but narrower rate differentials, loose fiscal policy and rising political and rating risks have weakened PLN's relative appeal. We therefore see the zloty as more vulnerable to higher global yields, energy prices and geopolitical risks.

Hungary is heading in the opposite direction, with the National Bank of Hungary having cut rates in recent months. We expect another cut only later next year, provided global conditions allow it.

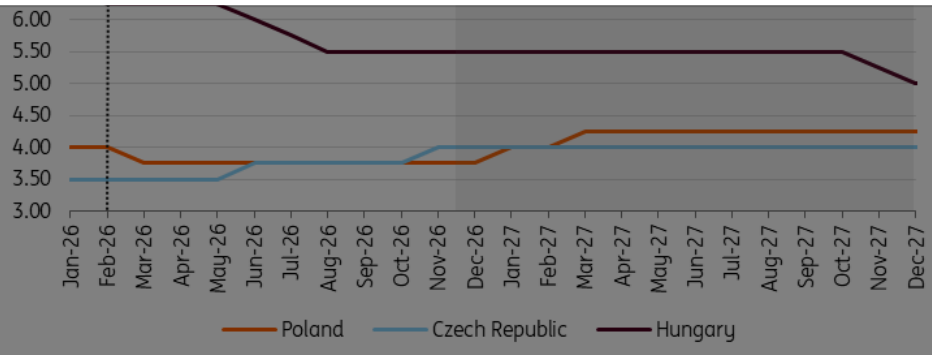
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Source: ING, Macrobond

6 Asia: Rotation underway, tech currencies should lead

A softer dollar should provide a broad tailwind for Asian FX, particularly in the second half of 2027, but we expect performance to remain highly differentiated. We favour the Korean won and Taiwanese dollar, expect further renminbi appreciation – albeit with greater two-way volatility – and see continued downside risks for the Indonesian rupiah and Philippine peso. We are more constructive on the Indian rupee.

Current account strength should continue to favour the tech currencies. Although the AI cycle may be plateauing, activity remains high and strong export revenues should support the KRW and TWD. Exporter FX conversion and measures encouraging the repatriation of overseas assets should provide additional support.

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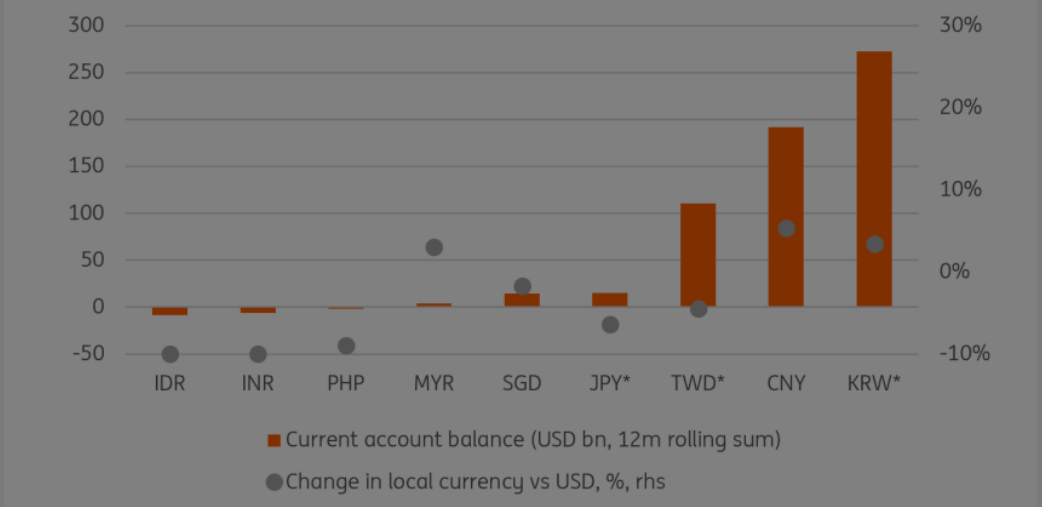
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headwinds for the IDR, while weaker FDI inflows leave the PHP vulnerable. By contrast, we favour the INR, where resilient growth, supply-chain diversification and continued FDI should provide support, while leaving India less exposed to swings in the AI cycle.

Asia: change in current account balance and local currency (2Q26 vs 2Q25)



Source: ING, Macrobond

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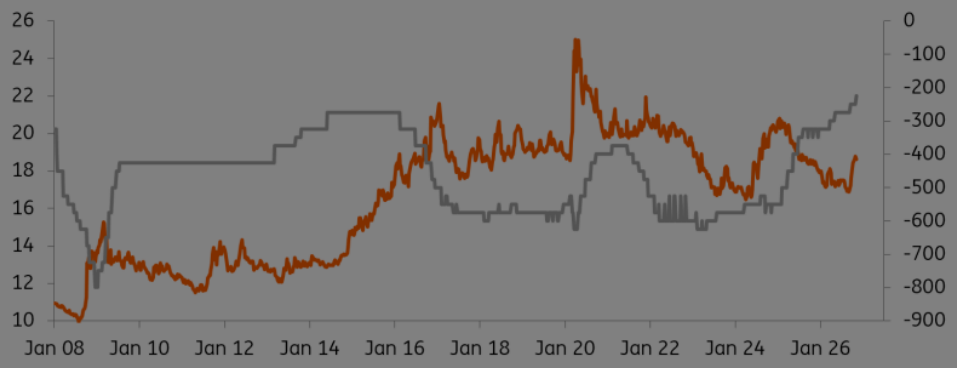
a weaker currency than most other central banks.

In addition, Banxico has now cut the peso's policy rate protection to just 225bp over the Fed. That is a record low and leaves the peso vulnerable to any deterioration in the external environment. We see the peso as a relative underperformer in 2027.

Further south, the Brazilian real has been causing a lot of pain to investors recently. The fear is that President Luiz Inácio Lula da Silva's pre-election giveaways will come home to roost next year. His choice of Finance Minister is going to be important, as will any progress on a 2027 budget. Preventing a bigger sell-off in the real, however, is the independent central bank running very high real

interest rates. It's a courageous call, but we think the real can recover a lot of its recent losses and outperform Mexico's peso.

MXN and US-Mexico policy rate gap



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